

ECON 101: Macroeconomics

Quiz 3

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Part A: Multiple Choice Questions (10 marks)

Each question is worth 2 marks. Choose the best answer.

1. Which of the following would most likely increase long-run economic growth in Canada?
 - (A) An increase in government consumption spending
 - (B) A reduction in investment in human capital
 - (C) Greater technological innovation and productivity growth
 - (D) A decrease in labour force participation
2. Labour productivity is defined as:
 - (A) Real GDP divided by labour force participation
 - (B) Real GDP per hour worked
 - (C) Nominal GDP per worker
 - (D) Capital stock divided by employment
3. In the loanable funds model, an increase in government borrowing due to a budget deficit will:
 - (A) Increase the supply of loanable funds
 - (B) Reduce the demand for loanable funds
 - (C) Increase interest rates and crowd out private investment
 - (D) Lower equilibrium interest rates

4. Financial intermediaries contribute to economic growth primarily because they:
- (A) Eliminate business cycles
 - (B) Channel savings efficiently into productive investment
 - (C) Reduce the need for government regulation
 - (D) Guarantee profits for savers
5. Which of the following statements best describes the relationship between saving and investment in a closed economy?
- (A) Saving always exceeds investment
 - (B) Investment equals national saving
 - (C) Government spending equals saving
 - (D) Investment equals consumption
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Part B: Numerical Problem (10 marks)

Suppose the following data describe an economy:

$$Y = C + I + G$$

where:

$$Y = 5,200 \quad C = 3,300 \quad G = 1,200$$

All values are measured in billions of dollars.

- (a) Calculate the level of investment in the economy. (3 marks)
 - (b) Compute national saving. Show all steps. (3 marks)
 - (c) Suppose government spending increases by \$200 billion while taxes remain unchanged. Explain how this policy change affects national saving and the equilibrium interest rate in the loanable funds market. (4 marks)
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End of Quiz